1. Organizational Structure

1.1. The relationship between Business objectives and Organisational structure

An organizational structure is the internal, formal framework that defines how management is organized, how authority is distributed, and how employees are linked within a business. It provides clarity on roles, responsibilities, and decision-making.

Without a clear structure, it is difficult to run a firm as we don't know:

- Who does which job? (Task allocation).
- Who is responsible for which decisions? (Authority & accountability).
- Who reports to whom? (Hierarchy & chain of command).

Having an Organizational Structure Helps in:

- Clearly defining roles and responsibilities to avoid confusion.
- Ensuring employees understand who to report to.
- Dividing tasks efficiently across teams and departments.
- Improving coordination and decision-making within the company.

Why does structure of an organization change?

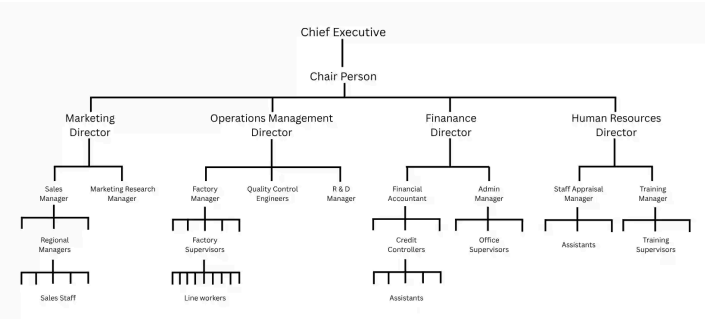
- If the firm expands its operation or wish to raise sales internationally, it may change to geographical divisional structure, which makes managing each region separately easier.
- If firm becomes more efficient through technological advancement, it may adapt flat structure, where it encourages flexibility and outsourcing can be done if deemed necessary.
- If there is leadership changes, then the firm may change to hierarchical structure if the new CEO is autocratic. This enhances fast decision making, which is helpful in time of crisis. However, if the new CEO is democratic and willing to hear employees, it may change to matrix structure. It promotes cross over of ideas, boosting innovation in the firm.
- If the competition in the industry is too fierce, the firm needs to adapt flat structure in order to be flexible to the dynamic market condition and take advantage of potential opportunities.

1.2. Types of structure

Functional Structure:

Departments that have defined roles and responsibilities in a specialist area such as marketing, finance, human resources or operations.

Visual Example of a Functional Structure:



The structure above indicates:

- Who has overall responsibility for decision-making.
- The formal relationships between different people and departments.
- The position of each individual in the business and who their line manager is.
- The way in which accountability and authority may be passed down the organization.
- The number of subordinates reporting to each more senior manager.
- Formal channels of communication, both vertical and horizontal.
- The identity of the supervisor or manager to whom each worker is accountable.

Benefits & Limitations of Functional Structure:

Benefits of Functional Structure	Limitations of Functional Structure
Employees take pride in their department's work.	Vertical structure restricts interdepartmental connections.
Encourages expertise, leading to higher productivity.	Difficulties arise in managing large projects involving multiple departments.
Departments are managed by specialists in their respective fields.	Employees may feel disconnected from senior management.
N/A	Departments may compete for resources, sometimes at the expense of overall business goals.

Functional Manager:

A senior employee who has authority over a complete organisational unit.

Hierarchical Structure

A structure consisting of multiple levels in which all members of the organisation, apart from one, are subordinate to someone else.

- Level of Hierarchy: a stage of the organisational structure where all personnel have equal status and authority.

An example is the image below:

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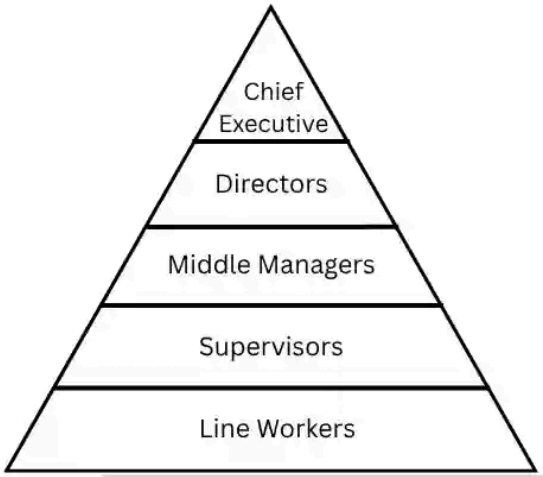


Hierarchical Structure

Pros & Cons of Hierarchical Structure:

Pros	Cons
Authority start at the top and can be delegated down the hierarchy.	Information typically flows from top to bottom, which can be inefficient.
Each individual's role is well-structured and clearly outlined.	Departments and divisions often operate in isolation, reducing collaboration.
A well-established authority structure ensures clear leadership.	Managers may focus only on their own department, leading to a narrow vision.
Commonly used in role-based cultures where job importance determines hierarchy.	The inflexible structure makes it difficult to adapt to changes.
It provides clear career growth opportunities for ambitious employees.	Managers may resist change to protect their position and department's importance.

Chain of Command:

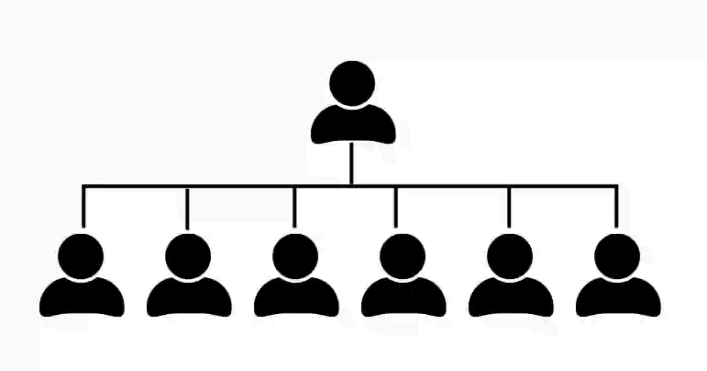
- This is the route through which authority from the chief executive and the board of directors is passed down through an organisation.

Span of Control:

- The number of subordinate employees directly accountable to a manager.

There are two types of span of control:

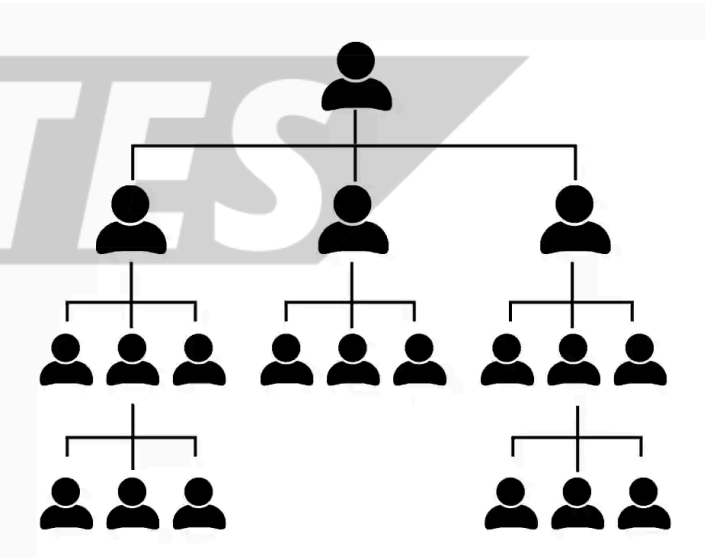
1. Wide span of Control:



Pros & Cons of Wide Span of Control:

Pros	Cons
Fewer managers are needed, reducing salary and overhead expenses.	Supervising more employees can lead to stress and reduced effectiveness for managers, affecting their productivity.
Less hierarchy means quicker communication and decision-making process.	Employees may receive less guidance and support from managers.
Workers have more responsibility, leading to higher motivation and job satisfaction.	Managers may struggle to monitor and ensure consistent performance.
Fewer layers of management reduce the risk of message distortion, increasing effectiveness of communication.	With many employees per manager, instructions may be unclear or misinterpreted or might require longer detailed explanation for understanding.
Organizations have higher flexibility, thus can adapt quickly to changes as decision-making is decentralized.	Less time for coaching and mentorship may hinder employee growth; less ideal for self-actualization need-based workers.

2. Narrow Span of Control:



Pros & Cons of Narrow Span of Control:

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Pros	Cons
Managers can closely monitor and guide employees, ensuring high-quality work.	More managers are needed, increasing salary and administrative expenses. It raises cost for the firm.
Fewer employees per manager lead to clearer and more effective communication.	A taller hierarchy can lead to delays in approvals and communication; it can be catastrophic during emergency.
More time for training, coaching, delegation, and mentorship helps employees grow. It might fulfill esteem needs as well as self-actualization.	Employees may feel micromanaged, leading to lower motivation and job satisfaction. It worsens productivity.
Managers can maintain tighter control over work processes and performance.	A rigid structure may make it harder for the organization to adapt to changes, hindering flexibility.
With fewer employees to oversee, managers can make well-informed decisions, affecting the firm positively.	More management layers can lead to inefficiencies and slow down processes.
Delegation taking place might increase motivation, employee loyalty and innovation within business.	N/A

Divisional Organizational Structure

A divisional organizational structure is a way of organizing a business based on either product lines or geographical regions. This structure allows each division to function independently while key strategic decisions remain centralized.

Structure by Product:

The company is divided into product-based divisions. Each division has its own marketing, production, and R&D teams and is managed separately.

Examples:

- A steelmaking company with divisions for steel girders, steel sheets, and specialist steels.
- An IT hardware manufacturer with divisions for business computers, consumer electronics, laptops, and tablets.

Pros & Cons of Product-Based Org Structure:

Pros	Cons
Focus on specific market segments.	Duplication of roles (e.g., separate sales teams in each division).
Faster response to consumer needs and market changes.	Risk of rivalry between divisions.
Easier to measure profitability and performance of each division.	Reduced central control over each division.

Structure by Geographical Area

This structure divides the company based on regions or countries, allowing each division to operate independently to cater to local markets.

Examples:

- A global fast-food chain with divisions in North America, Europe, and Asia.
- A multinational retail company with separate operations in different continents.

Pros & Cons of Geographical Org. Structure:

Pros	Cons
Better adaptation to local market needs and cultures.	Duplication of roles in different regions.
More effective decision-making within each region.	Risk of inconsistency in branding and operations.
Closer customer relationships due to localized management.	Higher operational costs due to separate regional teams.

Delayering

Delayering refers to the removal of one or more levels of hierarchy in an organizational structure. This often results in a flatter structure with fewer layers of management.

Why Businesses Use Delayering:

- **Advancements in IT & Communication Technology:** Senior managers can now directly monitor and communicate with junior employees, reducing the need for middle managers.
- **Cost Reduction:** Cutting middle management lowers salary expenses and overhead costs.
- **Faster Decision-Making:** Fewer layers mean quicker communication and decision-making.
- **Empowerment of Employees:** With fewer managerial levels, employees take on more responsibility and decision-making power.

Pros & Cons of Delayering:

Pros	Cons
Delayering reduces business costs.	There could be one-off costs of making managers redundant (e.g. redundancy payments).
It shortens the chain of command and should improve communication through the organisation.	Managers who remain have increased workloads, which could lead to overwork and stress.
It increases spans of control and opportunities for delegation.	Fear that redundancies might be used to cut costs could reduce the sense of security of the whole workforce (one of Maslow's needs).
It may increase workforce motivation due to less remoteness from top management and greater chance of having more responsible work to perform.	Cutting middle managers may lead to a loss of valuable skills and leadership.

Matrix Structure

The matrix structure is a flexible organizational structure designed to overcome the limitations of a traditional hierarchy. It focuses on projects or tasks, assembling teams with

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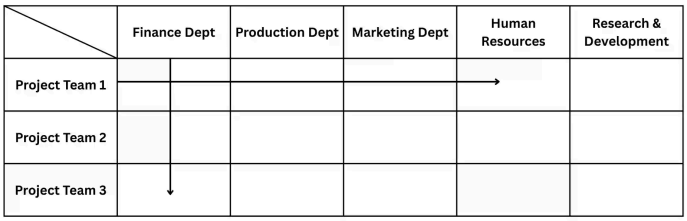
specialists from different departments or divisions. Instead of emphasizing hierarchy, it prioritizes collaboration and expertise.

Visual Example of Matrix Structure:



Key Features Of Matrix Structure:

- **Employees work in cross-functional teams rather than rigid departmental silos.**
- Individuals report to more than one manager (e.g., a functional manager and a project manager).
- Focus is on task completion rather than job title or hierarchy.
- Encourages collaboration between different departments like marketing, finance, and production.

Example:

- A car company developing a new electric vehicle may form a project team with engineers, designers, marketers, and financial analysts from different departments.

Benefits and Drawbacks of Matrix Structure:

Benefits	Drawbacks
It allows good communication between all members of the team.	There is less direct control from senior managers as the teams may be empowered to undertake and complete a project.
It cuts across traditional boundaries between departments in a hierarchy.	Reduced bureaucratic control may be resisted by some senior managers.
There is less chance of people focusing on just what is good for their department as the aim is to focus on the project and the business as a whole.	Passing down of authority to more junior employees can be difficult for some senior managers to accept.
Crossover of ideas between people with specialist knowledge in different areas tends to create more successful and innovative solutions.	Team members may have two managers, leading to potential conflicts. If a business keeps department hierarchies but forms cross-department teams, employees must report to both, which may create issues.
New project teams can be created quickly so this system is well-designed to respond to changing markets or technological innovations.	N/A

1.3. Delegation and Accountability

Delegation

Delegation is the process of passing down authority from higher to lower levels in an organization, allowing subordinates to perform tasks and make decisions. It plays a crucial role in organizational structure and employee motivation.

Key Aspects of Delegation:

- Managers assign tasks to subordinates but retain overall responsibility.
- Employees gain authority to make decisions related to their tasks.
- Wider span of control (more subordinates per manager) leads to more delegation.

Example:

- A sales manager with 15 employees cannot personally oversee each sale. Instead, they delegate pricing decisions and client management to their team.

Pros & Cons of Delegation:

Adv.	Disadv.
Delegation gives senior managers more time to focus on important strategic roles.	If the task is not well-defined or if inadequate training is given, then delegation is unlikely to succeed.
It shows trust in subordinates and this can motivate and challenge them.	Delegation will be unsuccessful if insufficient authority (power) is given to the subordinate who is performing the tasks.
It develops and trains employees for more senior positions.	Managers may only delegate the boring jobs that they do not want to do, which will not be motivating.
It helps employees to achieve fulfilment through their work (self-actualization).	N/A

Accountability:

The obligation of the individual to account for and explain their actions and to disclose the results of their work honestly.

Accountability in Delegation:

- While tasks and authority are delegated, accountability remains with the subordinate.
- If the job is done poorly, the worker is responsible and may face feedback, training, or discipline.
- Clear guidelines and performance expectations help ensure accountability.
- E.g. If a project deadline is missed due to poor planning, the responsible employee is held accountable by their manager.

Processes of Accountability:

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Effective accountability in the workplace requires more than simply telling employees to perform well. It involves a structured approach that sets clear expectations, provides necessary support, and ensures fair assessment. The process includes the following **five key steps:**

- **Set Clear Expectations:**
  - Employees should know exactly what is expected of them before they begin a task.
  - Job roles, responsibilities, and objectives must be clearly defined.
  - E.g. A salesperson is given a monthly sales target of $50,000.
- **Ensure Employees Have the Necessary Skills:**
  - Employees must have the appropriate skills and knowledge to complete the task.
  - If necessary, training and development should be provided.
  - E.g. A company introduces a new software system and provides training to employees before expecting them to use it.
- **Establish Two-Way Communication:**
  - Employees should receive regular feedback throughout the task, not just at the end.
  - Open communication allows employees to ask questions and seek guidance when needed.
  - E.g. A manager checks in with a new employee weekly to discuss progress and address challenges.
- **Define Performance Measurements:**
  - Employees must know how their performance will be evaluated (e.g., quality of work, deadlines met, sales targets).
  - This ensures fairness and clarity in performance assessments.
  - E.g. A customer service agent is assessed based on response time, customer satisfaction ratings, and complaint resolution rates.
- **Clarify the Consequences of Performance:**
  - Employees must understand the rewards for good performance (e.g., bonuses, promotions) and the consequences of poor performance (e.g., additional training, warnings).
  - E.g. An employee who exceeds targets may receive a bonus, while consistent underperformance may lead to further training or disciplinary action.

1.4. Control, Authority and Trust

Authority and Responsibility:

- Authority refers to the power to give orders and make decisions.
- Delegation grants authority to employees for tasks and decisions.
- Responsibility remains with the manager, who is accountable for outcomes.

Managers' key responsibilities:

- Selecting employees for tasks.
- Allocating necessary resources.
- Arranging training.
- If poor performance occurs, the manager is responsible for these factors.

Employees remain accountable through:

- Setting and agreeing on targets.
- Regular appraisals.
- Monitoring performance against targets.

Control and Trust in Delegation:

- Control is to measure and supervise an employee's performance.
- Delegation requires trust, reducing direct control over employees.
- Some managers resist delegation due to fear of losing importance or taking risks.
- Effective delegation gradually reduces control, increasing employee motivation.
- Empowerment goes beyond delegation, allowing employees to choose how to complete tasks.
- Greater empowerment boosts creativity but requires even more trust from managers.

1.5. Centralization & Decentralization

Centralization: keeping all the important decision-making powers within head office or the centre of the organization.

Functions:

- Minimal delegation; major decisions made by senior managers at head office.
- It ensures uniformity, consistency, and strong control over operations.
- It helps maintain a consistent brand image and reduce costs.

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Benefits and Drawbacks of centralization:

Benefits	Drawbacks
A fixed set of rules and procedures in all departments/divisions of the business should lead to rapid decision-making as there is no opportunity for discussion.	Less flexibility to respond to local market needs.
Senior managers take decisions in the interest of the whole business, not just one division of it.	Reduced motivation for lower-level managers.
Centralized buying should allow for greater economies of scale.	Slower response to customer feedback.
Senior managers at head office will be experienced decision-makers, which should reduce risks.	High workload for senior managers.
The business has consistent policies throughout the organization. This prevents any conflicts between the divisions and avoids confusion in the minds of consumers.	Risk of poor decision-making due to lack of local knowledge.

Decentralization: decision-making powers are passed down the hierarchy to empower subordinates and area or product managers.

Functions:

- Delegates decision-making to lower-level managers.
- It empowers employees, showing trust in them.
- It allows adaptation to local markets (e.g., multinationals adjusting products to regional preferences).

  It enables faster decision-making closer to market needs.

Benefits and Drawbacks of decentralization:

Benefits	Drawbacks
Decisions reflect local conditions and consumer needs.	Inconsistent policies across different divisions.
Junior managers gain experience for future leadership.	Risk of poor decisions by less experienced managers.
Increased motivation through delegation and empowerment.	Higher costs due to reduced economies of scale.
Faster and more flexible response to market changes.	Possible conflict between divisions and head office.
N/A	Loss of control for senior management.

1.6. Line & Staff

Line & Staff Management

Line Managers: managers who have direct authority over people, decisions and resources within the hierarchy of an organization. Line managers carry out core activities of a firm.

Staff Managers: managers who, as specialists, provide support, information and assistance to senior line managers. They do not have direct authority over others.

Potential Conflicts

- Staff managers are highly paid and may switch jobs frequently.
- Line managers may resent staff managers as they are considered "experts" and might think they are interfering in their work.
- Staff managers may have direct access to directors, causing jealousy to line manager.

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